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ACC501 QUIZ#3



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1. If you have Rs. 30 in asset A and Rs. 120 in another asset B, the weights for assets A and B will be ____ and ____ respectively.
    a. 37%; 63%
    b. 20%; 80% (HB)
    c. 63%; 37%
    d. 80%; 20%
2. Which of the following is the return that firm's creditors demand on new borrowings ?
    a. Cost of debt (HB)
    b. Cost of common equity
    c. Cost of preferred stock
    d. Cost of retained earnings
3. Which of the following is the overall return the firm must earn on its existing assets to maintain the value of the stock?
    a. AAR (Average Accounting Return)
    b. MIRR (Modified Internal Rate of Return)
    c. IRR (Internal Rate of Return)
    d. WACC (Weighted Average Cost of Capital)
4. The total market value of a company's stocks is calculated as Rs. 250 million and the total market value of the company's debt are calculated as Rs. 100 million. What percent of the firm's financing is debt ?
    a. 70.00%
    b. 28.57% (HB)

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c. 50.00%
d. 62.50%

5. Which of the following is referred as a statistical measure of the variability of a distribution around its mean ?
   a. The expected return
   b. Probability distribution
   c. The standard deviation
   d. Coefficient of variation
6. For an investment project, the cost of capital relevant to the project depends on which of the following?
   a. Type of security to be issued to finance the project
   b. Coupon rate on the firm's existing long-term bonds
   c. Total risk of the firm's equity
   d. Risk associated with the project
7. A firm's capital structure may include which of the following ? (HB)
   a. Preferred Stocks
   b. Bonds
   c. Common stocks
   d. All of the given options (HB)
8. Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share. Over the last year, he received a dividend of Rs.

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2.50 per share. At the end of the year, the stock sells for Rs. 28. As per given information, what will be the capital gains yield ?

a. 15.85%
b. 25.10%
c. 27.27% (HB)
d. 45.00%

9. Which of the following term refers to the situation when investors loan out the money ?

a. Levering
b. Leverage
c. Loaning
d. Un-levering

10. What would be the standard deviation of returns for an investment that has a variance of 0.0075 ?

a. 0.08660 (HB)
b. 0.09487
c. 0.09101
d. 0.10521

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1. Which of the following statement is TRUE regarding Average Accounting Return?
   a. AAR is a rate that makes the NPV equal to zero
   b. None of the given options
   c. An investment is acceptable if its AAR is greater than a benchmark AAR
   d. An investment is acceptable if its AAR is less than a benchmark AAR
2. Which of the following equation is correct for calculating the operating cash flows?
   a. EBIT + Depreciation + Taxes
   b. EBIT + Depreciation – Taxes (HB)
   c. EBIT – Depreciation + Taxes
   d. EBIT – Depreciation – Taxes
3. Which of the following comes under the head of accounting criteria for capital budgeting decision?
   a. Payback Period
   b. Profitability Index
   c. Net Present Value
   d. Average Accounting Return
4. _____ paid by corporation is tax deductible but _____ paid are not tax deductible.
   a. Interest; dividend (HB)
   b. Bonus; interest

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c. None of the given options
d. Dividend; interest

5. The total market value of a company's stocks is calculated as Rs. 250 million and the total market value of the company's debt are calculated as Rs. 150 million. What percent of the firm's financing is equity ?
   a. 62.50%
   b. 85.00%
   c. 50.00%
   d. 33.33%
6. Expected new sales due to the introduction of a diet version of an existing beverage results in decline in the sale of existing beverage is an example of:
   a. Opportunity cost
   b. Cannibalism (HB)
   c. Sunk cost
   d. Financing cost
7. What will be the cash inflow if we have sales of Rs. 400,000 and accounts receivable are decreased by Rs. 70,000 ?
   a. Rs. 330,000
   b. Rs. 470,000
   c. Rs. 230,000
   d. Rs. 70,000
8. Which one of the following is a non-cash item?

HB
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a. Purchases
b. Inventory
c. Depreciation (HB)
d. Sales

9. The next dividend for a company is Rs. 6 per share. The stock current price is Rs. 57 per share. What will be the cost of capital if the dividends are estimated to grow steadily at 5% ?
   a. 14.22%
   b. 15.53%
   c. 12.88%
   d. 13.07%

10. Which of the following set of cash flows represent the change in the firm's total cash flow that occurs as direct result of accepting the project ?
   a. All of the given options
   b. Relevant Cash Flows
   c. Incremental Cash Flows (HB)
   d. Negative Cash Flows

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